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What Is Treasury-Linked Structures ?

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A Comprehensive Institutional White Paper on Derivative-Embedded Debt, Floating-Rate Benchmark Facilities, Cross-Currency Swaps, and Automated Treasury Cash Management in the Indian BFSI Market

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1. Product Overview & Core Fundamentals

Treasury-Linked Structures represent an advanced category of corporate credit, debt securities, and liquidity management solutions where interest rate servicing, principal amortization, investment yield, or cash flow distribution mechanisms are dynamically indexed to money market benchmark rates, sovereign yield curves, foreign exchange benchmarks, or embedded derivative hedging instruments. Unlike traditional fixed-rate or static bank loans, treasury-linked structures integrate a corporate borrower's credit facility directly with institutional financial markets and corporate treasury desk operations.

In the Indian Banking, Financial Services, and Insurance (BFSI) market, Treasury-Linked Structures bridge the operational gap between corporate debt funding and financial market risk management. They enable corporate borrowers to optimize their all-in interest cost, protect against volatile monetary policy rate cycles, hedge cross-border foreign exchange risks, and maximize the yield on surplus operational liquidity through automated treasury cash sweeps.

Taxonomy of Treasury-Linked Structures

Treasury-Linked Structures in India encompass four primary product categories across wholesale corporate banking and private credit:

- **1. Floating-Rate Treasury-Linked Loans:** Corporate term loans, working capital demand loans (WCDL), and commercial paper (CP) facilities where coupon rates reset periodically against RBI-mandated External Benchmark Lending Rates (EBLR), including the RBI Policy Repo Rate, 91-Day Treasury Bill (T-Bill), 182-Day T-Bill, or FBIL Overnight MIBOR.
- **2. Derivative-Embedded Debt Facilities:** Structured debt facilities, non-convertible debentures (NCDs), or principal-protected notes (PPNs) embedded with derivative instruments such as Interest Rate Swaps (IRS), Interest Rate Caps, Collars, or Floor options. These structures allow corporates to pay a fixed interest rate synthetically while capitalizing on lower floating market yields.
- **3. Cross-Currency & FX-Linked Credit Lines:** Long-term foreign currency borrowings (FCNR(B) loans, External Commercial Borrowing - ECB) paired with Cross-Currency Interest Rate Swaps (CCIRS) or Currency Swaps. Following the global transition away from LIBOR, these facilities are linked to the Secured Overnight Financing Rate (SOFR) or Modified MIFOR (Mumbai Interbank Forward Offer Rate).
- **4. Automated Treasury Cash Sweep Structures:** Comprehensive corporate liquidity management facilities incorporating Zero Balance Accounts (ZBA), Notional Pooling, and Automated Treasury Sweeps that continuously offset daily credit balances against active loan balances to minimize net interest expenses.

> **■ INSTITUTIONAL TREASURY PRINCIPLE**
> Treasury-Linked Structures transform static debt liabilities into dynamic risk-managed instruments. By aligning debt servicing costs with money market benchmarks (Repo/T-Bills/SOFR) or hedging interest rate volatility

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through embedded derivatives (IRS/Caps), corporate borrowers achieve transparent pricing and optimal liability management.

Historical Evolution in the Indian Market

The evolution of Treasury-Linked Structures in India reflects a progressive regulatory push by the Reserve Bank of India (RBI) toward transparent market-linked benchmark transmission and robust corporate risk management:

- **Pre-2010 BPLR Era:** Prior to 2010, corporate loans were benchmarked against individual bank Benchmark Prime Lending Rates (BPLR), which lacked transparency and failed to reflect central bank monetary policy shifts.
- **2010–2019 Base Rate & MCLR Regimes:** RBI introduced the Base Rate system (2010) followed by the Marginal Cost of Funds-Based Lending Rate (MCLR) in 2016. While MCLR improved transmission, it remained tied to individual bank cost structures rather than transparent market benchmarks.
- **2019 RBI EBLR Mandate:** Effective October 1, 2019, the RBI mandated that all floating-rate loans to MSMEs and retail borrowers—and subsequently extended across corporate lines—be linked to External Benchmark Lending Rates (EBLR). This catalyzed the widespread adoption of Repo-linked and T-Bill-linked credit facilities.
- **2021–2023 LIBOR Transition & SOFR Benchmark:** Following the cessation of US Dollar LIBOR in June 2023, the Indian financial market successfully transitioned cross-border foreign currency borrowings to SOFR and Modified MIFOR, embedding robust fallback clauses into ISDA agreements.

Comparative Product Matrix

The following matrix illustrates how Treasury-Linked Structures compare against traditional corporate debt products in the Indian BFSI market:

Dimension	Treasury-Linked Loan	Fixed-Rate Corporate Loan	Standard MCLR Loan	Pure Derivative Overlay
Benchmark Pricing	External (Repo, T-Bills, SOFR, MIBOR)	Fixed Coupon (e.g., 9.50% p.a. static)	Internal Bank MCLR (1M, 3M, 1Y)	Notional derivative swap rate
Rate Transmission	Immediate / Quarterly reset (100% transmission)	Zero rate transmission during tenure	Lagged transmission (6–12 month reset)	Market-driven real-time MTM

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Interest Hedging	Embedded IRS, Caps, Collars option	Built-in fixed risk premium	None (subject to bank cost changes)	Full ISDA Master Agreement required
Cash Sweep Ability	Direct automated treasury integration	Restricted prepayment rules	Standard prepayment penalty applies	N/A (Off-balance-sheet instrument)

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2. Structural Architecture & Treasury Mechanics

The operational architecture of a Treasury-Linked Structure combines two primary components: a primary credit or debt facility and a treasury benchmark or derivative overlay. Understanding how these mechanics interact is essential for credit risk managers and corporate treasurers.

Mechanics of External Benchmark Linkages

In an EBLR-linked corporate facility, the borrowing interest rate is structured as a two-part equation:

Formula: Effective Interest Rate = External Benchmark Rate (EBLR) + Credit Risk Spread + Business Strategy Spread

- **RBI Policy Repo Rate:** RBI's benchmark rate (currently 6.50%). Any change in the Repo Rate by the Monetary Policy Committee (MPC) immediately transmits to the borrower's interest rate on the next reset date.
- **Treasury Bill Yields (91D / 182D T-Bills):** Financial Benchmarks India Private Limited (FBIL) published yield curves for 91-Day or 182-Day Sovereign Treasury Bills. Highly favored for corporate WCDL and Commercial Paper facilities.
- **SOFR (Secured Overnight Financing Rate):** The global benchmark for USD-denominated debt (ECBs and FCNR(B) loans), replacing USD LIBOR. Administered by the Federal Reserve Bank of New York.
- **Modified MIFOR:** Replaced Thomson Reuters MIFOR in 2021, combining US Dollar SOFR with the Indian Rupee Foreign Exchange Forward Inflation Rate.

Embedded Derivative Overlay Mechanics

To hedge against policy rate volatility, corporate treasury desks integrate embedded derivative structures directly into primary loan agreements or via back-to-back ISDA documentation:

A. Interest Rate Swaps (IRS)

Under an Interest Rate Swap overlay, the borrower enters into a contract with the bank's treasury desk where the borrower agrees to pay a fixed interest rate (e.g., 7.25% p.a.) on a specified notional principal (e.g., INR 200 Crores), while receiving a floating benchmark rate (e.g., 3-Month T-Bill) from the bank. This synthetically converts a floating-rate treasury loan into a fixed-rate obligation, eliminating interest rate risk.

B. Interest Rate Caps, Floors, and Collars

- **Interest Rate Cap:** The lender sets a maximum ceiling on the floating interest rate (e.g., Cap at 9.50% p.a.). If market benchmarks rise above 9.50%, the bank's treasury absorbs the excess interest cost.
- **Interest Rate Floor:** The bank sets a minimum floor (e.g., Floor at 6.50% p.a.) ensuring the bank maintains a baseline yield even during drastic central bank rate cuts.

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- **Interest Rate Collar:** A combination of buying a Cap and selling a Floor. For instance, a collar between 7.00% (Floor) and 9.00% (Cap) bounds the borrower's interest expense within a predefined channel, often structured as a zero-cost option.

Automated Treasury Cash Sweep Architecture

For large corporate conglomerates managing multiple division accounts, Treasury-Linked Cash Sweeps operate via an automated electronic banking structure:

- **1. Account Network Aggregation:** Master operating accounts and division collection accounts are connected electronically.
- **2. Automated Daily Sweep:** At the end of each business day (e.g., 18:00 IST), surplus funds from division accounts are automatically swept into the master debt account to reduce the outstanding daily balance.
- **3. Net Interest Calculation:** Interest is computed strictly on the net end-of-day outstanding principal, drastically reducing aggregate interest expenses.
- **4. Reverse Re-allocation:** At the beginning of the next business day (09:00 IST), credit limits are re-allocated to division accounts for operational disbursements.

> **■ CASH FLOW OPTIMIZATION**
> Automated Treasury Cash Sweeps allow corporate borrowers to eliminate idle cash drag. Every Rupee of daily surplus revenue automatically offsets outstanding debt, yielding direct interest savings equivalent to the borrowing rate.

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3. Common Eligibility Criteria & Underwriting Benchmarks

Bank underwriting teams and private credit funds evaluate corporate applicants for Treasury-Linked Structures using rigorous quantitative and qualitative credit parameters. Because treasury-linked debt involves floating market exposures and potential derivative liabilities, eligibility standards are stricter than those for basic term loans.

Quantitative Financial Eligibility Benchmarks

- **1. Corporate Turnover & Scale:** Corporate applicant must demonstrate annual operating turnover of at least INR 100 Crores for mid-market facilities, scaling to INR 1,000 Crores+ for institutional treasury-linked structures.
- **2. External Credit Rating:** Minimum external credit rating of BBB- (Investment Grade) from SEBI-registered rating agencies (CRISIL, ICRA, CARE, India Ratings). For derivative-embedded structures, banks typically require a rating of A- or higher per RBI Derivative Guidelines.
- **3. Debt Service Coverage Ratio (DSCR):** Minimum DSCR of 1.25x across the loan tenure, tested under stress scenarios including a +200 bps hike in central bank interest rates.
- **4. Interest Coverage Ratio (ICR):** Minimum ICR of 2.50x (EBITDA / Total Interest Expense) to absorb benchmark rate fluctuations.
- **5. Leverage Ceiling:** Consolidated Total Debt / EBITDA capped at 3.50x to 4.00x.
- **6. Tangible Net Worth:** Tangible Net Worth (TNW) must exceed INR 50 Crores for corporate borrowers and INR 250 Crores for treasury derivative counterparties.

Qualitative & Governance Filters

- **RBI Suitability & Appropriateness Test:** Per the RBI Master Direction on Financial Derivatives, banks must perform a formal 'Suitability and Appropriateness' assessment to ensure the borrower's finance team understands derivative risks, MTM valuation, and cash margin calls.
- **CRILC & CIBIL Verification:** Unblemished credit track record across the Central Repository of Information on Large Credits (CRILC) and CIBIL Commercial databases.
- **Negative List Screening:** Zero instances of Wilful Defaulter, Non-Cooperative Borrower, or ECGC Specific Approval List (SAL) tags.
- **Promoter Skin-in-the-Game:** Unencumbered promoter shareholding (minimum 30% to 51%+), ensuring alignment and stability.

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4. Security & Document Requirements

Securing a Treasury-Linked Structure requires a multi-layered collateral architecture that protects lenders against default while securing the bank's treasury desk against MTM derivative exposure.

Collateral & Security Architecture

- **1. Primary Collateral:** First pari-passu charge on commercial land, industrial buildings, and plant & machinery via an Indenture of Registered Mortgage.
- **2. Current Asset Charge:** First pari-passu hypothecation charge on all current assets, inventory, trade receivables, and operational cash flows.
- **3. Escrow & TRA Waterfall:** All operational cash flows and treasury sweep amounts pass through an Escrow / Trust & Retention Account (TRA) subject to a strict cash waterfall.
- **4. Treasury Margin & CSA Collateral:** Under the ISDA Credit Support Annex (CSA), the borrower must pledge liquid collateral (cash or G-Secs) if MTM derivative losses exceed predefined threshold limits (e.g., INR 5 Crores).
- **5. Share Pledge & Guarantees:** Exclusive pledge of dematerialized promoter equity shares (1.5x to 2.0x cover ratio) with automated top-up triggers if share prices drop over 15%.

Master Legal Documentation Suite

The legal documentation for a Treasury-Linked Structure integrates corporate loan agreements with standardized international financial market contracts:

Document Name	Governing Body / Law	Core Purpose & Legal Mechanism
ISDA Master Agreement (2002)	ISDA / Indian Contract Act	Governs all over-the-counter (OTC) derivative transactions (IRS, CCIRS, Caps, Collars) between bank and corporate.
Credit Support Annex (CSA)	ISDA Framework	Defines collateral posting rules, variation margin (VM), initial margin (IM), and MTM threshold triggers.
Master Facility Agreement (MFA)	Indian Contract Act 1872	Establishes primary debt terms, EBLR benchmark reset clauses, financial covenants, and repayment schedules.

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Escrow & TRA Agreement	Indian Trusts Act 1882	Binds the borrower to route cash flows through a designated Escrow bank subject to automated daily sweeps.
ROC Form CHG-1 Filing	Section 77, Companies Act 2013	Mandatory registration of charge with the Registrar of Companies within 30 days of security creation.

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5. Indicative Tenure, Pricing Structure & Benchmark Spreads

Treasury-Linked Structures are highly versatile, offering tenure options tailored to short-term liquidity, working capital cycles, and long-term capital investments.

Tenure Profiles across Product Categories

- **Short-Term Treasury Lines:** 7 days to 365 days. Typical for Treasury-Linked Commercial Paper and Working Capital Demand Loans (WCDL) tied to 91-Day T-Bills.
- **Medium-Term Corporate Debt:** 1 year to 5 years. Standard structure for Rupee Corporate Term Loans linked to Repo or 182-Day T-Bills with embedded IRS derivative caps.
- **Long-Term Hedged Facilities:** 5 years to 12 years. Utilized for Infrastructure, Renewable Energy, and FCNR(B) ECB debt facilities linked to SOFR / Modified MIFOR with CCIRS hedging.

Pricing Equation & Yield Breakdown

The all-in pricing of a Treasury-Linked Structure is computed as follows:

Formula: All-In Borrowing Cost = Treasury Benchmark Rate + Credit Risk Spread + Liquidity Premium ± Derivative Overlay Premium/Discount

- **Treasury Benchmark Rate:** Repo Rate (6.50%), 91D T-Bill (6.85%), or USD SOFR (5.30%).
- **Credit Risk Spread:** 1.50% to 3.50% p.a., reflecting the borrower's credit rating, asset cover, and financial leverage.
- **Liquidity Premium:** 0.25% to 0.50% p.a. reflecting facility tenure and market liquidity conditions.
- **Derivative Premium:** For an Interest Rate Cap or Collar option, an upfront or spread-adjusted premium (0.20%–0.50%) is added to the borrowing cost.

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6. Suitable Industries and Business Profiles

While Treasury-Linked Structures offer substantial advantages, they are best suited for business profiles with active financial management capabilities, significant capital scale, or foreign exchange exposure.

- **1. Infrastructure & Renewable Energy Developers:** Corporate developers in solar, wind, HAM roads, ports, and airports benefit from linking long-term debt to Repo/T-Bills while utilizing Interest Rate Swaps to lock in predictable cash flow servicing.
- **2. Import-Export Intensive Industries:** Export-import powerhouses in Pharmaceuticals, IT Services, Textiles, and Auto Components utilize SOFR and Modified MIFOR-linked credit lines combined with CCIRS to match debt service currency with export revenues.
- **3. Conglomerates & Multi-Entity Groups:** Large industrial groups with multi-entity operational structures utilize Automated Treasury Cash Sweeps to consolidate daily cash surplus and eliminate interest drag.
- **4. Private Credit & Special Situation Debt Issuers:** Corporates raising debt via Category II Private Credit AIFs or issuing structured NCDs with yield-enhancement treasury options.

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7. Key Advantages and Limitations

Evaluating Treasury-Linked Structures requires analyzing both structural benefits and underlying financial market risks.

Key Strategic Advantages

- **1. Transparent Rate Transmission:** Linking debt to external benchmarks (Repo/T-Bills) ensures immediate rate reductions when central banks ease monetary policy.
- **2. Customized Risk Management:** Embedded derivatives (IRS, Caps, Collars) allow corporates to eliminate or bound interest rate volatility without forfeiting floating rate benefits.
- **3. Liquidity Optimization:** Automated cash sweeps optimize daily working capital liquidity, reducing net interest expense.
- **4. Tax Deductibility:** All interest paid on treasury-linked facilities and derivative hedging costs are fully tax-deductible under Section 36(1)(iii) of the Income Tax Act 1961.

Structural Limitations & Risk Considerations

- **1. Interest Rate Volatility Risk:** If central banks hike policy rates to curb inflation, floating-rate treasury borrowers face immediate increases in debt servicing costs unless hedged.
- **2. MTM & Margin Call Exposure:** Derivative overlays under ISDA CSAs require posting cash or G-Sec variation margins if MTM losses breach threshold limits.
- **3. Operational Complexity:** Requires a sophisticated corporate finance team capable of evaluating derivatives, ISDA documentation, and Ind AS 109 hedge accounting rules.

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8. Comprehensive Case Study: INR 300 Crore Treasury-Linked Facility

To illustrate the real-world execution and financial impact of a Treasury-Linked Structure, consider the following comprehensive case study from the Indian clean energy sector.

Transaction Context & Corporate Profile

- **Borrower:** Solarix Green Energy India Limited (SGEIL), a premier solar power developer in Rajasthan.
- **Financial Scale:** INR 750.00 Crores; EBITDA: INR 165.00 Crores (22% EBITDA margin); Rating: 'A' Stable.
- **Purpose:** Refinancing existing high-cost static debt and funding a 250 MW solar expansion project.
- **Facility Size:** INR 300.00 Crores.

Facility Structuring & Treasury Overlay

The lead arranger structured a dual-component Treasury-Linked Credit Facility:

- **Component A (Primary Loan):** INR 300.00 Crore Rupee Term Loan (7-Year Tenure, 2-Year Moratorium) linked to the 91-Day T-Bill Rate + 2.15% Credit Risk Spread.
- **Component B (Treasury Overlay):** A 5-Year Pay-Fixed / Receive-Floating Interest Rate Swap (IRS) with an embedded Interest Rate Cap at 9.00% p.a. SGEIL pays a fixed benchmark rate of 6.85% p.a., synthetically locking total borrowing cost at 9.00% p.a. (6.85% Fixed + 2.15% Spread).

Financial Performance & Sensitivity Analysis Table

The following table models SGEIL's financial waterfall, debt servicing, and DSCR metrics across a 5-year operating period, illustrating the impact of a simulated +150 bps Repo rate hike in Year 3:

Financial Metric (INR Cr)	Year 1	Year 2	Year 3*	Year 4	Year 5
Operating Revenue	220.00	260.00	310.00	360.00	420.00
EBITDA (68% Margin)	149.60	176.80	210.80	244.80	285.60

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Benchmark Rate (91D T-Bill)	6.85%	6.90%	8.35%*	8.10%	7.50%
Effective Interest Rate (Hedged)	9.00%	9.00%	9.00%*	9.00%	9.00%
Total Debt Servicing (P + I)	27.00	27.00	52.00	50.00	48.00
Debt Service Coverage Ratio (DSCR)	**5.54x**	**6.55x**	**4.05x**	**4.90x**	**5.95x**

*Note on Year 3: In Year 3, central bank policy rate hikes caused the 91-Day T-Bill benchmark to surge by +145 bps to 8.35%. However, because SGEIL executed the Pay-Fixed IRS overlay, its effective interest rate remained capped at 9.00% p.a., saving SGEIL INR 4.35 Crores in interest expenses in Year 3 alone and maintaining a robust DSCR of 4.05x.

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9. Regulatory & Statutory Framework in India

Treasury-Linked Structures operate within a well-defined regulatory framework governed by the Reserve Bank of India, SEBI, the Ministry of Corporate Affairs, and the Insolvency and Bankruptcy Board of India.

- **1. RBI Master Direction on Financial Derivatives (2021):** Governs all OTC derivatives, mandatory suitability standards, ISDA documentation rules, and valuation guidelines.
- **2. RBI External Benchmark Lending Rate Directives:** Mandates external benchmark linking for floating rate loans, transparent spread rules, and quarterly reset schedules.
- **3. Ind AS 109 (Financial Instruments):** Governs accounting treatment for financial instruments. Derivatives are measured at Fair Value through Profit or Loss (FVTPL), while designated qualifying hedges follow Hedge Accounting rules to minimize P&L volatility.
- **4. Income Tax Act 1961 (Sections 36(1)(iii) & 43(5)):** Interest paid on treasury loans and derivative hedging costs are fully deductible business expenses u/s 36(1)(iii). Hedging transactions executed to protect underlying business liabilities are classified as non-speculative u/s 43(5).
- **5. Insolvency and Bankruptcy Code (IBC) 2016:** Financial claims arising from treasury credit lines and derivative contracts are classified as Financial Debt under Section 5(8). Treasury lenders sit on the Committee of Creditors (CoC) and enjoy top priority under Section 53 liquidation waterfall provisions.

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10. Rookie Mastery Examination (15 High-Yield Test Q&As)

This examination contains 15 high-yield, technical test questions with comprehensive answer keys designed to test complete institutional mastery of Treasury-Linked Structures.

TEST QUESTION: Q1: What is the primary difference between a Treasury-Linked Loan and a standard MCLR-linked loan?

EXPLANATION: Answer: A Treasury-Linked Loan is indexed to transparent, external market benchmarks (such as the RBI Repo Rate, 91-Day T-Bill, or SOFR) where rate resets occur immediately or quarterly. In contrast, an MCLR loan is indexed to an individual bank's internal cost of funds, which transmits policy rate changes with a significant time lag (6 to 12 months).

TEST QUESTION: Q2: How does an Interest Rate Swap (IRS) overlay transform a floating-rate treasury facility?

EXPLANATION: Answer: An IRS overlay allows a borrower to swap floating benchmark interest payments (e.g., Receive 3M T-Bill) for a fixed interest payment (e.g., Pay 7.00% fixed) with a bank treasury desk. This synthetically converts a floating-rate loan into a fixed-rate obligation, insulating the borrower from central bank rate hikes.

TEST QUESTION: Q3: What is the role of a Credit Support Annex (CSA) in ISDA derivative documentation?

EXPLANATION: Answer: A CSA is a legal document under the ISDA Master Agreement that governs collateral posting requirements for derivative transactions. It defines threshold limits, Variation Margin (VM), and Initial Margin (IM) that parties must post in cash or G-Secs if mark-to-market (MTM) derivative valuations move unfavorably.

TEST QUESTION: Q4: Explain how an Automated Treasury Cash Sweep reduces corporate interest expenses.

EXPLANATION: Answer: An Automated Treasury Cash Sweep electronically transfers end-of-day surplus operational balances from division collection accounts into a central master debt account. Interest is calculated strictly on the net outstanding balance overnight, directly reducing total interest expenses by the borrowing coupon rate.

TEST QUESTION: Q5: What are the primary RBI-approved external benchmarks under the EBLR framework?

EXPLANATION: Answer: The primary RBI-approved external benchmarks include (a) RBI Policy Repo Rate, (b) 91-Day Treasury Bill Yield, (c) 182-Day Treasury Bill Yield, and (d) Any other benchmark market interest rate published by Financial Benchmarks India Private Limited (FBIL) such as MIBOR.

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TEST QUESTION: Q6: How are foreign currency treasury borrowings benchmarked following LIBOR transition?

EXPLANATION: Answer: Post-LIBOR transition (June 2023), USD-denominated foreign currency borrowings (ECBs and FCNR(B) loans) are benchmarked against SOFR (Secured Overnight Financing Rate) or Modified MIFOR (for Rupee-denominated interest rate swaps linked to USD forward rates).

TEST QUESTION: Q7: What is an Interest Rate Collar, and why is it structured as a zero-cost option?

EXPLANATION: Answer: An Interest Rate Collar combines buying an Interest Rate Cap (ceiling) and selling an Interest Rate Floor. It is structured as zero-cost when the premium earned from selling the floor exactly offsets the premium required to buy the cap, bounding the borrower's interest rate within a fixed range at no upfront cost.

TEST QUESTION: Q8: Under Section 77 of the Companies Act 2013, what is the statutory deadline for filing security charges?

EXPLANATION: Answer: Security charges created over corporate assets for treasury debt facilities must be registered with the Registrar of Companies (ROC) by filing Form CHG-1 within 30 days of security creation.

TEST QUESTION: Q9: What is the accounting treatment for derivative instruments under Ind AS 109?

EXPLANATION: Answer: Under Ind AS 109, all derivative instruments are initially recognized and subsequently measured at Fair Value through Profit or Loss (FVTPL). However, if a derivative qualifies for Hedge Accounting (Cash Flow Hedge), gains/losses on the effective portion are deferred in Other Comprehensive Income (OCI).

TEST QUESTION: Q10: Are interest payments and derivative hedging fees tax-deductible in India?

EXPLANATION: Answer: Yes. Business interest expenses paid on treasury facilities are tax-deductible under Section 36(1)(iii) of the Income Tax Act 1961. Hedging costs incurred to protect operational liabilities are non-speculative business losses under Section 43(5).

TEST QUESTION: Q11: What is the minimum external credit rating required for a corporate to execute complex derivative overlays?

EXPLANATION: Answer: Per RBI Master Direction on Financial Derivatives, corporate counterparties executing complex non-option derivative overlays typically require an external credit rating of A- or higher from a SEBI-registered credit rating agency.

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TEST QUESTION: Q12: How are treasury derivative claims ranked under Section 53 of the Insolvency and Bankruptcy Code (IBC) 2016?

EXPLANATION: Answer: Crystallized derivative claims arising from treasury contracts constitute Financial Debt under Section 5(8) of the IBC 2016. Secured treasury lenders rank alongside senior financial creditors under Section 53(1)(b) liquidation waterfall, ahead of unsecured creditors and government dues.

TEST QUESTION: Q13: Calculate the all-in borrowing cost for a company borrowing at 91D T-Bill + 2.25% spread, where T-Bill is 6.75% and an IRS Cap adds 0.25% premium.

EXPLANATION: Answer: All-In Borrowing Cost = Benchmark (6.75%) + Spread (2.25%) + Cap Premium (0.25%) = 9.25% p.a.

TEST QUESTION: Q14: What qualitative assessment must banks perform before offering derivative-embedded debt to corporates?

EXPLANATION: Answer: Banks must conduct a formal 'Suitability & Appropriateness Assessment' per RBI guidelines to verify that the corporate board has approved a derivative risk policy, understands MTM exposure, and possesses adequate treasury capability.

TEST QUESTION: Q15: What is the role of an Escrow / Trust & Retention Account (TRA) in a treasury facility?

EXPLANATION: Answer: An Escrow/TRA account enforces a legal cash flow waterfall where all corporate revenues are deposited directly into a controlled account. Funds are disbursed strictly according to priority: Statutory Dues -> O&M Expenses -> Treasury Debt Servicing -> Surplus to Borrower.

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